

3. Blockchains

The blockchain is a bit like a public ledger that can be viewed online. Each verified block is added to the previous one. As the "hash" or signature of each file is generated using part of the previous block's signature, it timestamps each transaction. This makes them very difficult to tamper with.



VALUE OF BITCOINS

The number of bitcoins that can ever be produced is limited to 21 million. This is intended to prevent a devaluation of the currency due to oversupply. In addition, as the number of bitcoin in circulation increases, the program will make verification more difficult, meaning the mining process will take longer, fewer coins will be produced, and the limited supply will ensure the value of the currency remains high.



Seller



4. Bitcoins arrive for use

Once bitcoins arrive in the seller's account, they can be used to make purchases through a retailer, or sold through an exchange or directly to an online buyer. Using websites such as LocalBitcoins.com and Meetup.com, users can make face-to-face transactions, bringing their digital wallets (on a mobile device) to make the trade.



WHY BITCOIN IS SO SECURE

As all transactions must be verified, it is difficult for individuals to tamper with the system. If an attacker does attempt to interfere with a transaction in the blockchain, it will change the resulting hash and invalidate all following blocks. In addition, as users are only known by a public key, transactions can be kept anonymous.

